

Intro to Macro Exam Questions:

1. We know there are two big schools of economic thought, with certain sub-schools. Which of the following statements about them is correct?
- (a) Monetarists perceive that a stabilizing government intervention is justified only when expected.
 - (b) Austrian School economists think government interventions are only necessary during a recession.
 - (c) Keynesian economists think government interventions are justified during a recession.
 - (d) According to classical economists, fiscal policies can be used to smooth the business cycle.

Answer: (c)

2. One of the potential reasons for which the consumer price index (CPI) may overestimate the cost of living is that:
- (a) It does not consider substitution bias.
 - (b) It considers the improvement in the quality of goods.
 - (c) It underestimates inflation.
 - (d) None of the other answers is correct.

Answer: (a)

3. The following information is given for the country Wakanda:

Wakanda	
National Income	50
Capital depreciation	10
Indirect taxes	5
Subsidies	3
Net factor income from abroad	10
Exports	15
Imports	10

Which of the following statements is correct?

- (a) Wakanda's GDP at factor prices is 60.
- (b) Wakanda's GDP at market prices is 52.
- (c) Wakanda's NNP at market prices is 50.
- (d) Wakanda's NDP at market prices is 40.

Answer: (b)

4. Consider the following consumption pattern: 100 units of chocolates, 100 units of oranges, and 100 units of chicken legs.

In the base year, the price of a chocolate, an orange, and a chicken leg was 1 CHF, each.

In the current year the price of a chocolate is 3 CHF, an orange is 5 CHF, and a chicken leg is 10 CHF.

What is the consumer price index (CPI) for this year?

- (a) 100.
- (b) 200.
- (c) 400.
- (d) 600.

Answer: (d)

5. Real GDP per capita growth rate in countries Atlantis and Zubrowka is 10% and 7%, respectively. How many years would it take for Atlantis and Zubrowka to double their GDPs?
- (a) It will take 7 years for Atlantis and 10 years for Zubrowka .
 - (b) Atlantis will take 10 years if its initial real GDP per capita equals 800, and 7 Zubrowka will take 7 years if its initial real GDP per capita equals 1600.
 - (c) It will take 7 years for Atlantis, and 15 years for Zubrowka.
 - (d) It will take the same amount of time if the real GDP of Zubrowka is 3% higher than the real GDP of Atlantis.

Answer: (a)

6. The following table summarizes information regarding a country that produces only wine and cheese.

Year	Price of Wine (CHF)	Quantity of Wine (liters)	Price of Cheese (CHF)	Quantity of Cheese (kilos)
2000	1	100	2	50
2001	1	200	2	100
2002	2	200	4	100

Which of the following is correct?

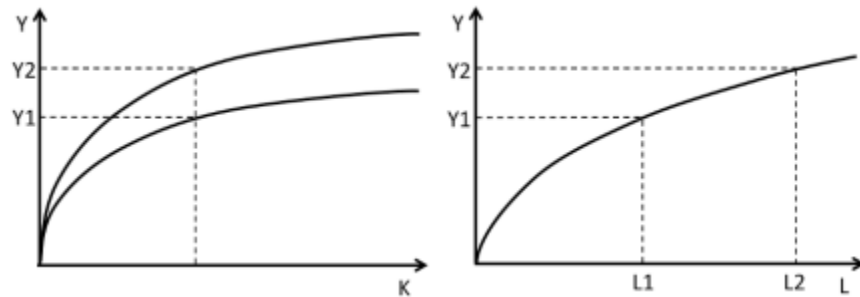
- (a) Nominal GDP doubled every year.
- (b) Real GDP with base 2000, doubled each year.
- (c) Each year, the growth rate of nominal GDP is twice the growth rate of real GDP with 2000 as the base year.
- (d) Each year, the growth rate of nominal GDP is the same as the growth rate of real GDP with 2000 as the base year.

Answer: (a)

7. Which of the following options is not an instrument at the disposal of the Central Bank for the control of money supply?
- (a) The refinancing or repo rate.
 - (b) The reserve requirement.
 - (c) The share of deposits held by households in cash.
 - (d) Open market operations.

Answer: (c)

8. The following two graphs refer to the production function: $Y(K, L, H, N) = A F(K, L, H, N)$, where Y is output, A is technology, K is physical capital, L is labour, H is human capital, and N are natural resources.



Which of the following proposition can explain the shifts observed in the **two** graphs?

- (a) A technological innovation has been introduced, and the level of production changes from Y_1 to Y_2 .
- (b) Human capital has increased, leading to an increase in labor productivity and a shift in the level of production from Y_1 to Y_2 .
- (c) The number of employed workers has increased, and the level of output increases from Y_1 to Y_2 .
- (d) Physical capital has increased, and the level of output increases from Y_1 to Y_2 .

Answer: (c)

9. Consider a labour market with 20 unemployed and 60 employed workers. The entire adult population is equal to 100.

What are the unemployment rate and the labour force participation rate in the economy?

- (a) The unemployment rate is 25%, and the labour force participation rate is 60%.
- (b) The unemployment rate is 20%, and the labour force participation rate is 60%.
- (c) The unemployment rate is 25%, and the labour force participation rate is 80%.
- (d) The unemployment rate is 20%, and the labour force participation rate is 80%.

Answer: (c)

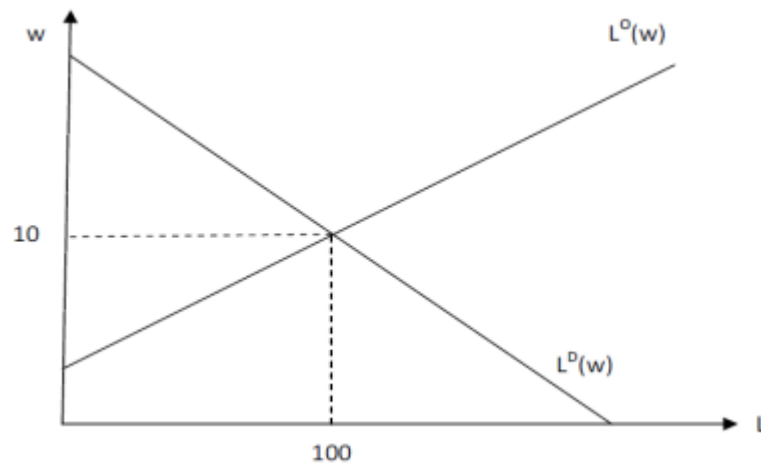
10. Among the following proposition concerning real GDP per capita as a measure of well-being, which one is correct?

- (a) Real GDP per capita is a good measure of well-being because it takes into account income inequality.
- (b) Even if it is an imperfect measure of well-being, real income per capita is positively correlated with other measures of well-being such as life expectancy, school enrollment, health outcomes, etc..

- (c) Real GDP per capita is not a good measure of well-being because it overestimates the importance of the illegal economy.
- (d) Even if real GDP per capita does not take into account unpaid work (housework, self-consumption, etc.), it remains a good measure of well-being because these activities represent a negligible part of the value of total production.

Answer: (b)

11. A Labour Market equilibrium is illustrated in the graph below:



The government now introduces a minimum wage of 15. Which of the following statements do you feel should hold true?

- (a) Structural unemployment will be observed. However, if the marginal productivity of labour increases by a sufficiently large amount, it is possible that structural unemployment will disappear.
- (b) The marginal productivity of the last worker that is hired is equal to 10.
- (c) There is frictional but no structural unemployment.
- (d) Employment will fall if the quantity of capital per worker increases.

Answer: (a)

12. Which of the following is an example of cyclical unemployment?

- (a) A worker who was born in Zurich and is currently working in Lausanne, is looking for work in Zurich.
- (b) An SBB technician loses his job following technological progress in the sector.
- (c) A secretary from Geneva is fired from a watch company due to a slowdown in global economic activity.
- (d) A bank employee quits her job to start doctoral studies.

Answer: (c)

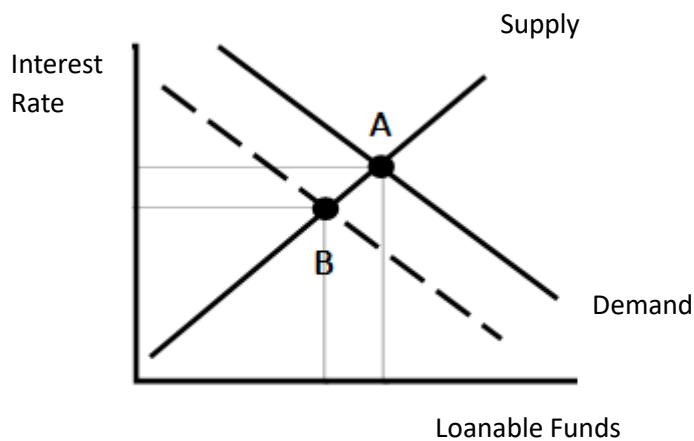
13. Consider an economy with a reserve requirement (r) where people do not hold money in cash. The currency and sight deposits from commercial banks in the central bank add up to 1000.

Which of the following statements is true?

- (a) If the money multiplier equals 5, the money supply equals 200, and r equals 20%.
- (b) If r equals 25%, the money multiplier equals 4, and the money supply equals 4000.
- (c) If the money supply equals 3000, the money multiplier equals 2, and r equals 10%.
- (d) We cannot find the money multiplier if people do not hold money in cash.

Answer: (b)

14. Consider the following graph, representing the equilibrium the market for Loanable Funds:



Which of the following events could cause the equilibrium to shift from point A to point B?

- (a) An anticipation of a recovery in economic activity which increases business investment.
- (b) A decrease in the public deficit, which increases the loanable funds available to the private sector.
- (c) An increase in economic uncertainty, which reduces the incentive for households to save.
- (d) Removal of an investment subsidy.

Answer: (d)

15. Let Country Z be a closed economy. The following information is given: GDP is 300, National savings is 100, Private savings is 150 and Consumption is 50.

Which of the following statements is correct?

- (a) Budget surplus is 50, and government expenditure is 150.

- (b) Private saving is equal to public saving.
- (c) Investment is 100, and taxes equal 150.
- (d) The budget deficit is 50, and the investment is 100.

Answer: (d)

16. In the quantity theory of money
- (a) Nominal GDP equals the value of money used in transactions.
 - (b) Real GDP equals money supply.
 - (c) Money Supply equals the price level.
 - (d) The inflation rate equals the GDP growth rate.

Answer: (a)

17. Which of the following groups would necessarily benefit from unexpected inflation?
- (a) Workers who earn a high salary.
 - (b) Landlords who own fixed rent apartments.
 - (c) Individuals who borrow at a fixed interest rate.
 - (d) Pensioners who earn a fixed rent.

Answer (c)

18. In an open economy, which of the following is correct?
- (a) If the balance of payments is in equilibrium, an imbalance in net factor income from abroad necessarily finds its counterpart in the trade balance.
 - (b) An improvement in the trade balance implies a lower net outflow of capital.
 - (c) If the trade balance is fixed, a decrease in net factor income from abroad implies an increase in net capital outflow.
 - (d) All things being equal and assuming net factor income from abroad is zero, an imbalance in the trade balance necessarily finds its counterpart in the financial or capital account.

Answer (d)

19. According to the equilibrium model in open macroeconomics seen in the course, if a government return to a balanced budget after being in a deficit situation, you can expect that:
- (a) The supply of loanable funds increases, decreasing the interest rate and increasing the net capital outflow, which implies a depreciation of the national currency and an increase in net exports.
 - (b) The demand for loanable funds increases, increasing the interest rate and decreasing the net capital outflow, which implies an appreciation of the national currency and an increase in net exports.
 - (c) The supply of loanable funds increases, decreasing the interest rate and increasing the net capital outflow, which implies an appreciation of the national currency and a decrease in net exports.

- (d) The demand for loanable funds decreases, decreasing the interest rate and increasing the net capital outflow, implying a depreciation of the national currency and a decrease in net exports.

Answer (a)

20. Which of the following propositions regarding the market for foreign currency are correct?

- I. A decline in net exports leads to a depreciation of the domestic currency
- II. An increase in NCO leads to a depreciation of the domestic currency
- III. A reduction in purchases of domestic assets by foreign residents leads to a depreciation of the domestic currency

- (a) Only I is correct.
- (b) Only I and III are correct.
- (c) Only II is correct.
- (d) All propositions are correct.

Answer (d)

21. Consider the case where the exchange rate (direct quotation) between Switzerland and another foreign country increased by 1 percent during the last year. We further know that the price level increased by 3 percent in the foreign country over the same period. If the relative purchasing power parity is respected, what was the price variation in Switzerland during the same period?

- (a) The price level in Switzerland decreased by 4 percent.
- (b) The price level in Switzerland increased by 4 percent.
- (c) The price level in Switzerland increased by 2 percent.
- (d) The price level in Switzerland decreased by 2 percent.

Answer (b)

22. If the real exchange rate (RER) is smaller than 1:

$$\text{RER} = e \frac{P_{US}}{P_{CH}} < 1$$

where e is the nominal exchange rate (CHF per US dollar), P_{CH} is Switzerland's price level, and P_{US} is the US price level, then which of the following statements is true?

- (a) Purchasing power parity holds.
- (b) Swiss products are less competitive than American products.
- (c) The nominal exchange rate (e) is also smaller than 1.
- (d) We can anticipate a decrease in the nominal exchange rate (e).

Answer (b)

23. Real GDP increased by \$600, and the marginal propensity to consume is 0.70. Find the original change in aggregate demand.
- (a) \$100
 - (b) \$180
 - (c) \$300
 - (d) \$70

Answer (b)

24. Consider an economy initially at the long-run equilibrium. According to the Phillips curve/relation, what can you expect if later inflation is lower than expected?
- (a) In the short run, the unemployment rate increases. In the long run, the unemployment rate returns to its initial level.
 - (b) In the short run, the unemployment rate stays unchanged. In the long run, the unemployment rate decreases.
 - (c) In the short run, the unemployment rate decreases. In the long run, the unemployment rate returns to its initial level.
 - (d) In the short run, the unemployment rate increases. In the long run, the unemployment rate stays unchanged.

Answer (a)

25. Let's consider an open economy that is initially at equilibrium. Which government policies would increase real income and prices in the short run?
- (a) A tax decrease for the households of this economy.
 - (b) A decrease in military spending.
 - (c) A decrease in the public deficit.
 - (d) A decrease of the money supply.

Answer (a)

26. Suppose that an economy is at its long-run equilibrium. Which of the following events would necessarily lead to an increase in price level while leaving production level unchanged in the long run?
- (a) An increase in government expenditure.
 - (b) A decrease in investments.
 - (c) An increase in wages negotiated by unions.
 - (d) An increase in technological knowledge or total factor productivity (A).

Answer (a)

27. Which of the following statements is false?

- (a) Tax incentives for saving would increase the supply of loanable funds and reduce the equilibrium interest rate.
- (b) Decrease in money demand increases the interest rate.
- (c) An increase in money supply reduces the interest rate and further increases the quantity of goods and services demanded in the short-run.
- (d) An increase in income would lead to an increase in the supply of loanable funds and a reduction of the equilibrium interest rate.

Answer (b)

28. Consider the following fiscal policy actions:

- I. Reduce government expenditures for defense and space research.
- II. Increase government transfer payments to those most severely affected by the rising price index.
- III. Increase personal income taxes.

Which of the above fiscal policy actions would be appropriate to reduce inflation?

- (a) I only.
- (b) II only.
- (c) II and III only.
- (d) I and III only.

Answer (d)

29. Suppose the economy is at equilibrium; if people start anticipating a price increase, which of the following is true?

- (a) Real income will move below the natural level of output in the short-run.
- (b) Real income will move above the natural level of output in the short-run.
- (c) Real income will remain at the natural level of output in the short-run.
- (d) There is not enough information to conclude on the impact on real income in the short-run.

Answer (a)

30. If the observed inflation rate is 2%, the expected inflation rate is 4% and the natural unemployment rate is 2%, what can you say?

- (a) The unemployment rate is 4%.
- (b) The unemployment rate is higher than 2%.
- (c) We are at the long-term equilibrium.
- (d) We are missing information to respond to.

Answer (b)